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22CB002 - BUSINESS STRATEGY

Department: Computer Science and Engineering
Batch/Year: 2023–2027/ VII Year CSE
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Date: 01.07.2026

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1. Course Objectives

The Course will enable learners to:

- Determine the concept and process of strategic management.
- Analyze the internal and external environment.
- Formulation of strategies, implementation and evaluation of strategies
- Case studies and latest business events to understand business strategies

2. Pre – Requisites

1. Basic understanding of management principles, business environment, and analytical thinking skills.

22CB002	BUSINESS STRATEGY	L	T	P	C
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OBJECTIVES:

The Course will enable learnersto:

- **Determinethe conceptand processof strategicmanagement.**
- **Analyzethe internal and externalenvironment.**
- **Formulation of strategies,implementation and evaluation of strategies.**
- **The course will covercase studies and latestbusiness events.**

UNIT I	INTRODUCTION TO STRATEGICMANAGEMENT	9

Importance of Strategic Management - Vision and Objectives - Schools of thought in Strategic Management- Strategy Content, Process, and Practice - Fit Concept and Configuration Perspectivein StrategicManagement

UNIT II	INTERNAL ENVIRONMENTOF FIRM- RECOGNIZING A FIRM'S INTELLECTUAL ASSETS	9

Core Competence as the Root of Competitive Advantage - Sources of Sustained Competitive Advantage - Business Processes and Capabilities-based Approach to Strategy

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Five Forces of Industry Attractiveness that Shape Strategy - The concept of Strategic Groups, and Industry Life Cycle - Generic Strategies - Generic Strategies and the Value Chain

UNIT IV	CORPORATE STRATEGY, AND GROWTH STRATEGIES	9

The Motive for Diversification - Related and Unrelated Diversification - Business Portfolio Analysis - Expansion, Integration and Diversification - Strategic Alliances, Joint Ventures, and Mergers & Acquisitions.

UNIT V	STRATEGY IMPLEMENTATION:STRUCTURE AND SYSTEMS	9

The 7S Framework- StrategicControl and CorporateGovernance

TOTAL: 45 PERIODS

4. Course outcomes

Upon completion of the course, the students will be able to:

CO1: Become familiar with both internal and external environment.They would also become familiar with corporate and growth strategies, appreciate implementation of such strategies

CO2: Learn the fundamental concepts of strategic management to analyse businesssituations and apply these concepts to solve business problems.

CO3: Understand the fundamental principles of and interrelationships among business functions such as: R&D,production, marketing, finance, and HR and information technology.

CO4: Apply the inter-relationships of business to individuals, otherorganizations, government and society.

CO5: Analyze complex, unstructured qualitative and quantitative problems, using appropriate tools.

5. CO- PO/PSO Mapping

Course Out Comes	Level of CO	Program Outcomes												Program Specific Outcomes		
		PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11	PO12	PSO1	PSO2	PSO3
CO.1	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.2	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.3	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	2
CO.4	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.5	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1

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6. LECTURE PLAN

S.No.	Topics to be covered	No. of periods	Proposed date	Actual lecture date	CO	Taxonomy level	Mode of delivery
1	Importance of Strategic Management	2			1	K2	PPT,
2	Vision and Objectives	1			1	K2	Case Study
3	Schools of thought in Strategic Management	2			1	K3	PPT
4	Strategy Content, Process, and Practice	2			1	K3	PPT
5	Fit Concept	1			1	K2	PPT
6	Configuration Perspective in Strategic Management	1			1	K2	PPT

7. Activity based learning

Activity	Topic	Outcome
CASE STUDY ANALYSIS	Will Tesla make it?	Students will be able to understand the strategies and their importance of success
Discussion	Why few companies outsmart the others?	

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UNIT I

INTRODUCTION TO STRATEGICMANAGEMENT

Importance of Strategic Management - Vision and Objectives - Schools of thought in Strategic Management - Strategy Content, Process, and Practice - Fit Concept and Configuration Perspective in Strategic Management

Will Tesla Make It?

On January 7, 2020, Tesla Inc. became the most valuable US automaker in history. Valued at $81.39 billion, Tesla passed Ford Motor Company as most valuable. Approximately two weeks later, Tesla passed Volkswagen to become the second most valuable car company worldwide. Still well behind Toyota, which has a $233 billion market capitalization, Tesla's growth is unprecedented in the automotive industry. Can Tesla become number one worldwide?

Despite tremendous growth, Tesla has its share of problems as well. Its founder, Elon Musk, tweeted that the company's stock price was too high; sending the stock tumbling, the Model 3 lost Consumer Reports recommendations, and COVID-19 shutdowns of factories slowed production. These problems raise serious questions. Will Elon's Twitter use continue to cause problems? Are the quality problems going to tank Tesla's growth? Can Tesla emerge from the COVID-19 shutdown successfully?

The company faces stiff competition from automakers attempting to regain their footholds in a highly aggressive market. Competitors are attempting to compete in the same areas as Tesla. Porsche's Taycan, a Tesla competitor, got a huge win with a purchase from Bill Gates. As competitors continue to develop autonomous capabilities and better electric batteries, will Tesla continue to dominate US auto markets?

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- Langley, K. (2020, January 7). Tesla is now the most valuable US car maker of all time. Wall Street Journal. https://www.wsj.com/articles/tesla-is-now-the-most-valuable-u-s-car-maker-of-all-time-11578427858.
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- Olsen, P. (2019, November 14). Tesla Model 3 loses CR recommendation over reliability issues. Consumer Reports. https://www.consumerreports.org/car-reliability-owner-satisfaction/tesla-model-3-loses-crrecommendation- over-reliability-issues.
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1. Introduction:

Importance of Strategic Management

Strategic management process helps the organisations to achieve their goals within a dynamic and competitive environment. It helps the organisastions to find answers to the qestions "Why some organisations outperform others? Or why few organisations fail?". Strategic management is a comprehensive process designed for firms to best use their resources and capabilities to provide superior firm performance. It should be noted that the process is performed with a framework of corporate ethics and values.

The process involves:

- Analysis of the external, competitive, and internal environments
- Facilitate formulations of strategies
- creates a framework for an organization to look outside of itself and set a course for success.



1.2 Strategy:

The concept of strategy in business has been borrowed from military science and sports where it implies out- maneuvering the opponent. The term strategy began to be used in business with increase in competition and complexity of business operations.

Strategy is a complex concept that involves many different processes and activities within an organization. It involves goals and objectives that an organization needs to achieve to be successful in the marketplace.

"Strategy is the unified, comprehensive andintegrated plan that relates the strategic advantage of the firm to the challenges of the environment and is designed to ensure that basic objectives of the enterprise are achieved throughproper implementationprocess."

New or revised strategies to cope with the changes in the business environment. Firms also routinely revise or create new strategies, often annually, by assessing and reacting to external and competitive forces and to maximize organizational performance. By identifying their resources and capabilities, firms attempt to deploy these through strategies that will give them a competitive advantage, so consumers will buy their product or service instead of a competitor's.

3. Nature of Strategy:

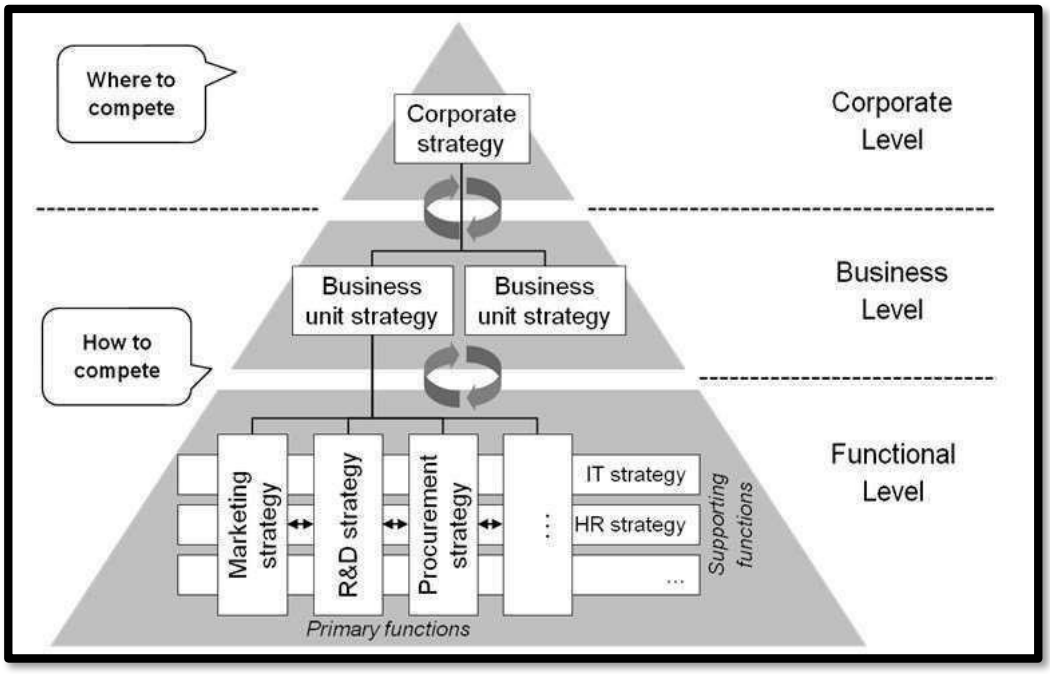
- A strategy is a higher level, broad goal, without a lot of specifics.
- It is long-term in nature.
- It provides the direction that an organization wants to move toward to be more successful.
- A strategy is an administrative course of action designed to achieve success in the face of difficulties.
- It is a plan for meeting challenges posed by the activities of competitors and environmental forces. Strategy is the complex plan for bringing the organization from a given state to a desired position in a future period of time.
- Strategy is a contingent plan as it is designed to meet the demands of a difficult situation.
- Strategy provides direction in which human and physical resources will be deployed for achieving organizational goals in the face of environmental pressure and constraints.
- Strategy relates an organization to its external environment. Strategic decisions are primarily concerned with expected trends in the market, changes in government policy, technologicaldevelopments etc.
- Strategy determines the direction in which the organization is going in relation

to its environment. It is the process of defining intentions and allocating or matching resources to opportunities and needs, thus achieving a strategic fit between them. Business strategy is concerned with achieving **competitive**

advantage.

It is the determination and evaluation of alternatives available to an organization in achieving its objectives and mission and the selection of appropriate alternatives to be pursued.

1.4 Levels of Strategy



1. CORPORATE LEVEL STRATEGY :

At the corporate level, strategies are formulated according to organization wise polices. Corporate level strategies are futuristic, innovative and pervasive in nature. They occupy the highest level of strategic decision making and cover the actions dealing with the objectives of the organization. Such decisions are made by top management of the firm. The example of such strategies include acquisition decisions, diversification, structural redesigning etc.

2. BUSINESS LEVEL STRATEGY :

The strategies formulated by each SBU to make best use of its resources given the environment it faces, come under the gamut of business level strategies. At such a level, strategy is a comprehensive plan providing objectives for SBUs, allocation of resources among functional areas and coordination between them for achievement of corporate level objectives. These strategies operate within the overall organizational strategies i.e. within the broad constraints and polices and long term objectives set by the corporate strategy. The SBU managers are involved in this level of strategy. The strategies are related with a unit within the organization. The SBU operates within the defined scope of operations by the corporate level strategy and is limited by the assignment of resources by the corporate level. However, corporate strategy is not the sum total of business strategies of the organization. Business strategy relates with the "how" and the corporate strategy relates with the "what". Business strategy defines the choice of product or service and market of individual business within the firm. The corporate strategy has impact on business strategy.

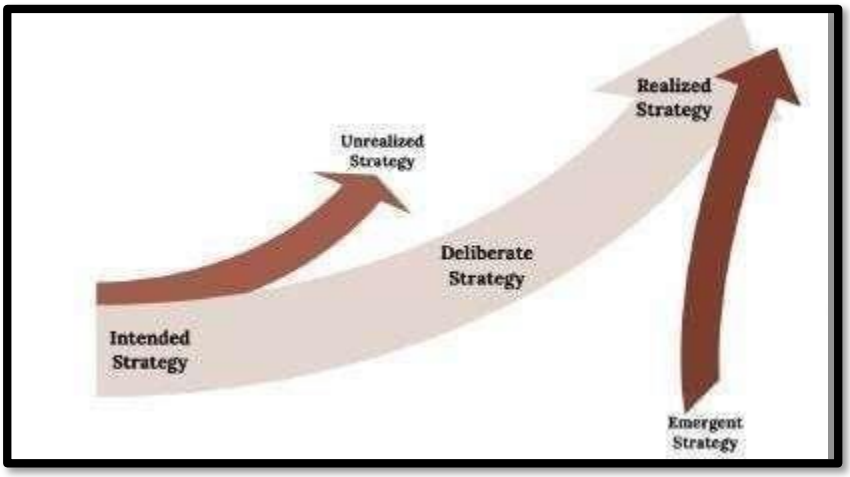
1.4.3. FUNCTIONAL LEVEL STRATEGY

This strategy relates to a single functional operation and the activities involved therein. This level is at the operating end of the organization. The decisions at this level within the organization are described as tactical. The strategies are concerned with how different functions of the enterprise like marketing, finance, manufacturing etc. contribute to the strategy of other levels. Functional strategy deals with a relatively restricted plan providing objectives for specific function, allocation of resources among different operations within the functional area and coordination between them for achievement of SBU and corporate level objectives. Sometimes a fourth level of strategy also exists. This level is known as the operating level. It comes below the functional level strategy and involves actions relating to various sub functions of the major function. For example, the functional level strategy of marketing function is divided into operatinglevels such as marketing research, sales promotion etc.

1.5 Types of Strategies:

Intended Strategy: An **intended strategy** is the strategy that an organization hopes to execute. Intended strategies are usually described in detail within an organization's strategic plan.

Emergent Strategy: An emergent strategy is an unplanned strategy that arises in response to unexpected opportunities and/or challenges. Sometimes emergent strategies result in disasters.



Realized Strategy: A **realized strategy** is the strategy that an organization actually follows. Realized strategies are a product of a firm's intended strategy (i.e., what the firm planned to do), the firm's deliberate strategy (i.e., the parts of the intended strategy that the firm continues to pursue over time), and its emergent strategy (i.e., what the firm did in reaction to unexpected opportunities and challenges).

An **unrealized strategy** refers to the abandoned parts of the intended strategy.



1.6 Components of a strategy



1.6.1. Vision:

"Vision animates, inspires, transforms purpose into action." – Warren Bennis

An organization's vision describes what the organization hopes to become in the future. Visions highlight the values and aspirations that lay at the heart of the organization. Vision statements have the potential to inspire employees, customers, and other stakeholders.



2. Mission:

A Mission is about what the organization does to achieve the vision. A mission is an action statement to achieve the vision. A mission statement is not required to be inspirational. Instead, it provides a clear focus on what an organization does and what it doesn't.

- Organization's mission is grounded in the past and present.
- A mission outlines the reasons for the organization's existence and explains what role it plays in society.
- A well-written mission statement captures the organization's identity and helps to answer the fundamental question of "Who are we?".
- A mission statement explains to key stakeholderswhythey should supportthe organization.

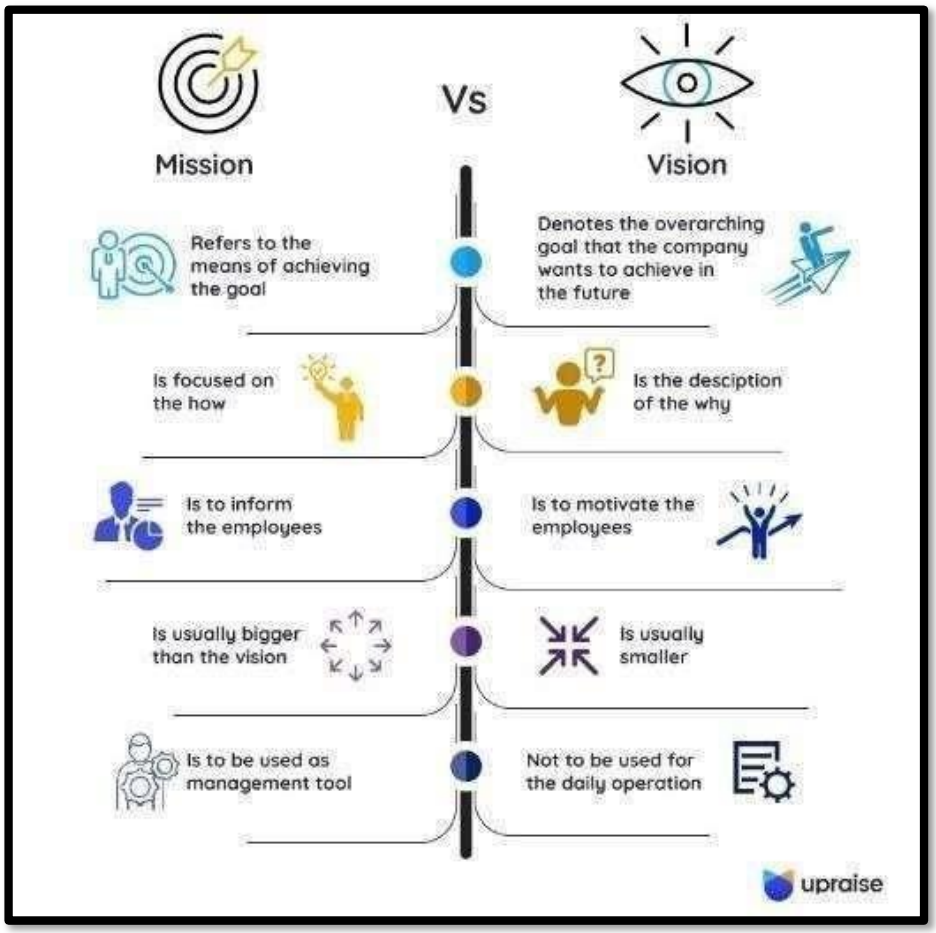
Company	Mission Statement
Harley Davidson	We fulfill dreams through the experiences of motorcycling, by providing to motorcyclists and to the general public an expanding line of motorcycles and branded products and services in selected market segments.
Internal Revenue Service	Provide America's taxpayers top quality service by helping them understand and meet their tax responsibilities and enforce the law with integrity and fairness to all.
Starbucks	To inspire and nurture the human spirit – one person, one cup, and one neighborhood at a time.
Netflix	We promise our customers stellar service, our suppliers a valuable partner, our investors the prospects of sustained profitable growth, and our employees the allure of huge impact.
Nike	To bring inspiration and innovation to every athlete in the world.
Walmart	To save people money so they can live better.

Characteristics of a good mission statement:

- **Short: The mission** statement should be easy to remember. Each person in organizations should be aware of the mission statement to use in context with the work he/she does.
- **Simple:** Mission statement language should be simple and be of everyday life.

- **Operative:** A mission statement should provide a clear direction. It should focus on what an organization does. It also gives a clear route about initiative and resource allocation.

DIFFERENCES BETWEEN VISION AND MISSION STATEMENTS



3. Corporate Values

- **value statements** are explicit principles that the company endorses and lives by, and expects their employees to embrace.
- Values related to integrity, diversity, and customer service are often seen on company websites.
- They demonstrate to their employees and other stakeholders the important principles that the organization lives by.
- Values also show customers and potential customers what the firm stands for.
- An organization consider their values statement when developing its strategies and goals.

- Strategy of a company ensures that the company conforms to their corporate values.

VALUE STATEMENTSOF COMPANIES

Walmart
Guided by good: service to the customer, respect for the individual, strive for excellence, act with integrity
Harley Davidson Motorcycles
Integrity, be accountable, encourage creativity, inspire teamwork, individuality, and diversity
Facebook
Be bold, Focus on impact, Move fast, Be open, Build social value
Starbucks
• Creating a culture of warmth and belonging, where everyone is welcome. • Delivering our very best in all we do, holding ourselves accountable for results. • Acting with courage, challenging the status quo, and finding new ways to grow our company and each other. • Being present, connecting with transparency, dignity, and respect.

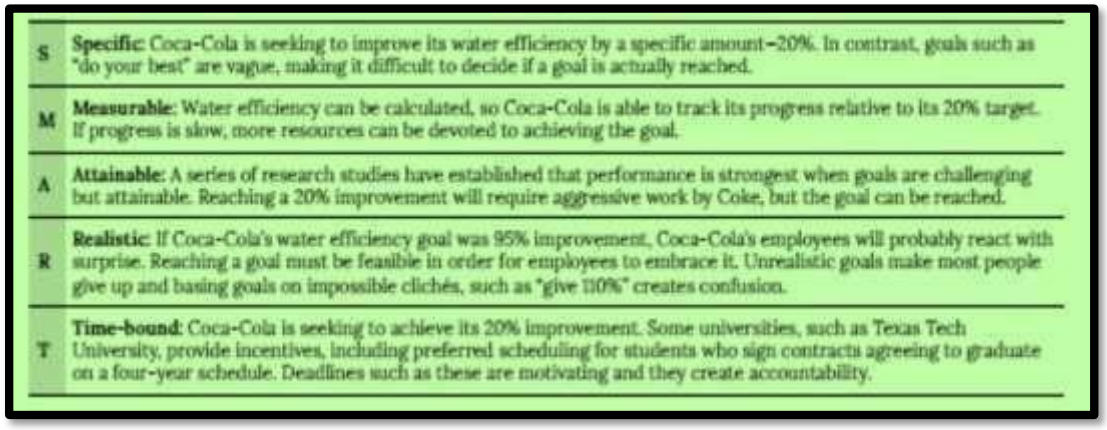
4. Goals, Objectives and Action Plans

1. Goals:

- Organizations create goals (narrower targets) that provide clear and tangible guidance to employees as they perform their work on a daily basis.
- The most effective goals are those that are specific, measurable, attainable, realistic, and time-bound (SMART)
- SMART goals help provide clarity, transparency, and accountability.
- A goal is a milestone(s) in the process of implementing a strategy.

SMART goal of Coca-Cola'saim to "improve our water efficiency by 20%, comparedwith a baseline year."





S	**Specific**: Coca-Cola is seeking to improve its water efficiency by a specific amount–20%. In contrast, goals such as "do your best" are vague, making it difficult to decide if a goal is actually reached.
M	**Measurable**: Water efficiency can be calculated, so Coca-Cola is able to track its progress relative to its 20% target. If progress is slow, more resources can be devoted to achieving the goal.
A	**Attainable**: A series of research studies have established that performance is strongest when goals are challenging but attainable. Reaching a 20% improvement will require aggressive work by Coke, but the goal can be reached.
R	**Realistic**: If Coca-Cola's water efficiency goal was 95% improvement, Coca-Cola's employees will probably react with surprise. Reaching a goal must be feasible in order for employees to embrace it. Unrealistic goals make most people give up and basing goals on impossible clichés, such as "give 110%" creates confusion.
T	**Time-bound**: Coca-Cola is seeking to achieve its 20% improvement. Some universities, such as Texas Tech University, provide incentives, including preferred scheduling for students who sign contracts agreeing to graduate on a four-year schedule. Deadlines such as these are motivating and they create accountability.

Examples of business goals are:

- Increase profit margin
- Increase efficiency
- Capture a bigger market share
- Provide better customer service
- Improve employee training
- Reduce carbon emissions

2. **Objectives –** An objective turns a goal's general statement of what is to be accomplished into a specific, quantifiable, time-sensitive statement of what is going to be achieved and when it will be achieved.

Examples of business objectives are:

- Earn at least a 20 percent after-tax rate of return on our investment during the next fiscal year

- Increase market share by 10 percent over the next three years.
- Lower operating costs by 15 percent over the next two years through improvement in the efficiency of the manufacturing process.
- Reduce the call-back time of customer inquiries and questions to no more than four hours.

1.6.4.3. Action Plans – Action plans are statements of specific actions or activities that will be used to achieve a goal within the constraints of the objective. Examples of action plans within the context of goals and objectives are:

Goal	Objective	Action Plan
Increase Profit Margin	Reduce operating costs by 10 percent in 18 months	Finance department will conduct an in-depth analysis of identifying low cost suppliers.
Improve Employee Skills	Conduct a training program in the next 12 months to improve employee skills.	A special committee will be formed to select and hire a professional trainer to conduct the training.
Increase Profit Margin	Increase sales volume by 20 percent in 12 months.	Marketing department will create and implement a plan to increase sales in regions 3 and 5.

7. STRATEGIC MANAGEMENT

Strategic management in a business refers to the planning, management, utilization of resources to define and achieve objectives efficiently. It also includes a review of internal processes and external factors impacting the business. Formulating and implementing strategies allow a company to proceed with its action plan.

Strategic management process can be defined as **'a combination of managerial decisions and actions that determines the long-run performance of a corporation'**. It includes environmental observation, strategic planning, formulation, implementation, evaluation and control.

1.The History of Strategic Management I

Strategic Management in Ancient Times

The history of strategic management can be traced back several thousand years. The word strategy has its roots in warfare. The Greek verb strategos means "army leader" and the idea of stratego (from which we get the word strategy) refers to defeating an enemy by effectively using resources (Bracker, 1980).

STRATEGIC MANAGEMENT IN ANCIENT TIMES
1491 BC: Moses uses hierarchical delegation of authority during the exodus from Egypt. Dividing a large set of people into smaller groups creates a command structure that enables strategies to be implemented.
500 BC: Sun Tzu's The Art of War provides a classic handbook on military strategy with numerous business applications, such as the idea "to win without fighting is the best." This type of approach was used by businesses, such as Gap Inc. when they decided to create their own stores rather than competing for shelf space for their clothing within traditional department stores.
70 BC: Roman poet Birgil tells the story of the Trojan horse, a classic strategic ploy where the Greek forces hid a select number of soldiers in a large wooden horse that the Trojan army took into their heavily guarded city gates. Once inside the city, Greek soldiers were able to open the gates and allow in reinforcements which eventually led to the end of the war.
c. 530: King Arthur rules Britain. Legend says he made his famed round table so that no one, including him, would be seen as above the others. His mission to find the Holy Grail serves as an exemplar for the importance of the central ission to guide organizational actions.

II Classic Military strategy

Strategic management borrows lessons as well as metaphors from classic military strategy. For example, major business decisions are often categorized as "strategic" while more minor decisions (such as small changes in price or the opening of a new location) are referred to as "tactical" decisions. Here are a few select examples of classic military strategies that hold insights for strategic decisions today.

1532: Machiavelli's book The Prince offers clever recipes for success to government leaders. Some of the book's suggestions are quite devious, and the word Machiavellian comes to refer to acts of deceit and manipulation.
1775: The American Revolutionary War between the United States and Great Britain begins. Weaker American forces win the war in part by relying on nontraditional tactics such as guerilla warfare and the strategic targeting of British officers. They also depend on help from the French navy, illustrating the potential value of strategic alliances.
1815: Napolean's defeat at Waterloo demonstrates how spreading resources too thin can result in defeat of even one of the most famed militaries of all time.
1865: The American Civil War ends. Historians consider the Confederacy to have had better generals, but the Union possessed greater resources. Sometimes good strategies simply cannot overcome a stronger adversary.
1944: Following a series of deceptions designed to confuse and food German forces, the Allies launch the D-Day invasion in an effort to liberate Europe from Nazi control.

III The Modern History of Strategic Management

Although strategy has been importantthroughout history, strategic management as afield of study has largely developed over the past century.

Year	Notable event
1909	Ford first produces its classic Model T.
1911	Frederick W. Taylor publishes The Principles of Scientific Management.
1912	The precursor to the modern strategic management course was created at Harvard Business School under the title of "business policy."
1925	A&W Root Beer becomes America's first franchised restaurant chain.
1959	The Ford Foundation recommends that business school curricula include a 'capstone' course that integrates knowledge across business fields in order to help solve complex business problems.
1962	Alfred Chandler published Strategyand Structure:Chapters in the History of the Industrial Enterprise.
1962	Sam Walton opens the first Wal-Mart in Arkansas. Relying on a strategy that emphasized low prices and high levels of customer service.
1980	The Strategic Management Journal is created.
1995	The launch of Amazon.com by founder Jeff Bezos is perhaps the pivotal event in creating Internet-based commerce.
2001	Enron Corporation declares bankruptcy after a series of disclosures reveal that the firm's stellar performance had been a product of fraud and corruption.
2005	Thomas Friedman's book The World is Flat: A Brief History of the Twenty-First Century suggests that many advantages that firms in developed countries like the United States take for granted are disappearing.
2010	Wal-Mart becomes the largest company in the world.

1.7 Schools of thought in strategic management by Henry Mintzeberg

The strategy is a detailed and systematic plan of particular action that has to be performed when it is required or when a requirement is envisaged. Different types of strategic problems form part of the strategic management process. The strategy is explained in different approaches which includes design school, positioning school, and planning school, learning school or emergent school, configuration school or transformation school, cultural school, cognitive school, environmental

school, power school and entrepreneurial school. Each of these schools describes the strategy as follows:

1. **Design school:** According to the design school, the strategy has been described as a series of different operations performed to achieve the fit between the internal capabilities and external possibilities of an organization.
2. **Positioning school:** According to the positioning school, the strategy has been described as analytical process. It also mentions that strategy depends on the appropriate position or place of the firm in the market and within the industry.
3. **Planning school:** According to the planning school, the strategy is described as which highly praises the beneficial quality or advantage of the formal strategic planning arms itself with SWOT analyses and checklist.



4. **Learning school or Emergent school:** According to the learning school, the strategy is described as an emergent process. An emergent process can be thought some like an existence process. That means the existence of the strategies appear as more people come to learn or know about the situation that has risen and as well as about the organizations capabilities and the way of their dealing with the raised situations.
5. **Configuration school or Transformation school:** According to the configuration school, the strategy can be described as a process of transformation which means or which tells about the process that transforms the organization. It also describes the similar quality of strategies which were interrupted by the leaps to the new ones.
6. **Cultural school:** According to the cultural school, the strategy can be described as collective process and cooperative process.
7. **Cognitive school:** According to the cognitive school, the strategy can be described as a mental process. It also analyses the peoples awareness about the patterns and how they process they process the information.
8. **Environmentalschool:** According to the environmental school, the strategy can be described as reactive process. This means that how the strategy becomes the response of the focused environment.
9. **Power school:** According to the power school, the strategy can be described as a process of negotiation. That means, the process negotiation is processed or developed between the power holder who are present in the company and external stakeholders.
10. **Entrepreneurial school:** According to the entrepreneurial school, the strategy can be described as a visionary process. In other words it can be described as the importance given to the role played by the leader in the organization.

1.9 STRATEGIC MANAGEMENT PROCESS

CRUCIAL CONSIDERATIONS

1. **Demand:** No businessman can expect demand forecasting for products unless heis having strategic planning for the organizational development. Hence, long-range planning is necessary to meet the demand.
2. C**ompetition:** Business entities should always fight for survival. When there are new entrants in the market there will be more competition. Hence, strategic planning is necessary to face competition and to become successful businessman.
3. **Technology:** Changes in technology also necessitate strategic planning. Technological advancements are useful for the development of business. More

opportunities will be available to business.

4. **Scarcity:** Scarcity of the resources always forms the basis for strategic management when products are scarce and there is increase in demand.

1.9.1 MAJOR STEPS IN STRATEGIC MANAGEMENT PROCESS

First Stage

1. **Preparation of Mission:** 'Mission' is the purpose for which organization is established. Mission includes both a statement of organizational philosophy and purpose. An organizational philosophy establishes the values, beliefs, and guidelines for the manner in which the organization is going to

conduct its business. The first step of strategy formulation depends on well-defined mission statement or organizational purpose. The mission may be described as the scope of the operation in terms of nature of

business.

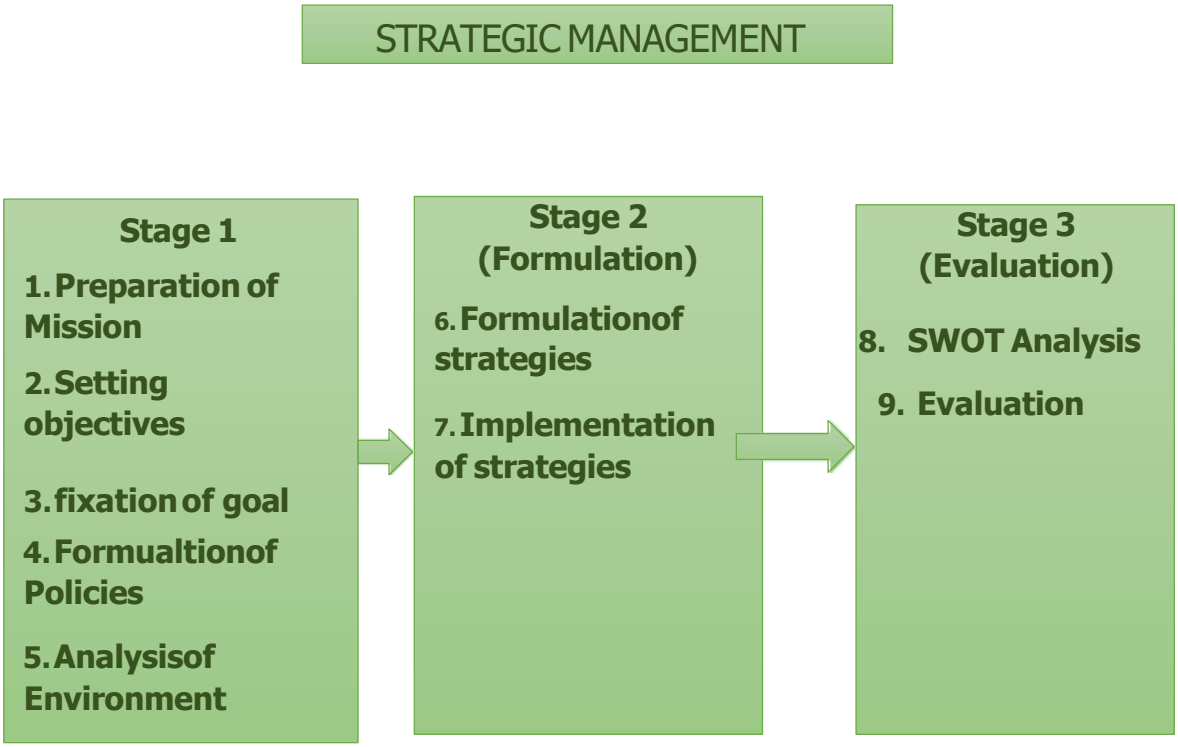
2. **Setting of Objectives:** Objectives are defined as ends which the organization seeks to achieve. Objectives may be internal or external. Internal objectives are thosewhich define how much is expected to be achieved with the resources that the organization

commands.

3. **Fixation of Goals:** Goals are specific, and time-based points of measurement. Generally, goals are determined by the owner or entrepreneur of the organization. In case of large scale companies CEO (Chief Executive Officer) will determine the goals for its firm. Thus goal of the owner will be the goal of firm.

4. **Policies:** A policy is a definition of common purposes or organization components.The process of strategic planning sometimes encompasses the formulation of important policies. Policies help to ensure that all units of an organization operate under the same ground rules. They also facilitate coordination and communication between various organizational units. Policies of competitors also influence an organization's policies.

5. **Analysis of Environment:** Business environment always influences decision-making. There may be external or internal factors that influence business. Buyers, suppliers, government and competitors are likely to react in accordance with changesin environment. Thus, business also should act in the same fashion.



Second Stage (Formulation)

6. **Formulation of Strategies:** Strategies can be formulated after diagnosing the environment. Each strategy with suitable sub-strategies and alternative strategies should be available to top management. Thus, top management always mentors the administration with strategies which can be adapted

from time-to-time.

7. **Implementation of Strategies:** This is an important stage in strategic management process. Well-designed strategies may fail in implementation. Hence, adaptability of strategies and implementation process should be clearly mentioned while formulating strategy. It is the strategist's responsibility

to take care of implementing strategies in accordance with the requirements of an organization.

Third Stage (Evaluation)

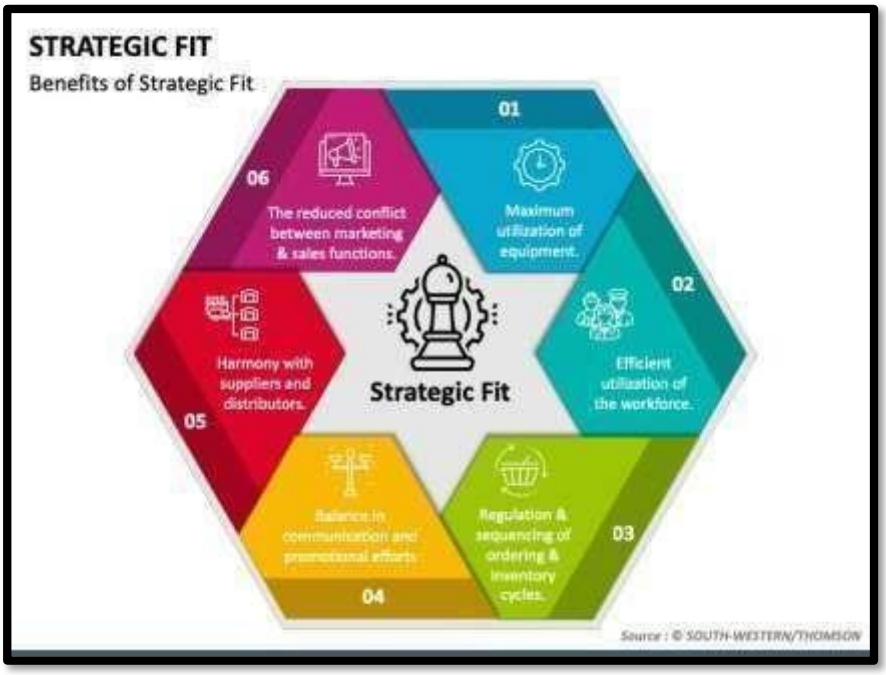
8. **SWOT Analysis:** Strengths, Weaknesses, Opportunities and Threats simply termed SWOT. Every organization should go through SWOT analysis. It is an important tool for evaluating organizational capabilities.

9. **Evaluation:** This can be stated as the last stage of strategicmanagement process.The strategist should evaluate each strategy after implementing them. The strategistshould

evaluate whether there is profit maximization or cost minimization or achievement of long-term or short-term goal whatever it may be.

1.10 STRATEGIC FIT

Strategic fit expresses the degree to which an organization is matching its resources and capabilities with the opportunities in the external environment. The matching takes place through strategy and it is therefore vital that the company has the actual resources and capabilities to execute and support the strategy.



Strategic fit can be used actively to evaluate the current strategic situation of a company as well as opportunities such as mergers and acquisitions (M&A)and divestitures of organizational divisions.

Strategic fit is related to the resource-based view of the firm which suggests that thekey to profitability is not only through positioning and industry selection but rather

through an internal focus which seeks to utilize the unique characteristics of the company's portfolio of resources and capabilities.

A unique combination of resources and capabilities can eventually be developed into a competitive advantage which the company can profit from. However, it is importantto differentiate between resources and capabilities. Resources relate to the inputs to production owned by the company, whereas capabilities describe the accumulation of learning the company possesses.

The Concept of Fit is "a process as well as a state -a dynamic search that seeks to align the organization with its environment and to arrange resources internally in support of that alignment. In practical terms, the basic alignment mechanism is strategy, and the internal arrangements are organizationalstructure and managementprocesses".

Benefits of Fit strategy

- The extent to which the activities of a single organization or of organizations working in partnership complement each other in such a way as to contribute to competitive advantage.

- The benefits of good strategic fit include cost reduction, due to economies of scale, and the transfer of knowledge and skills.

- The success of a merger, joint venture, or strategic alliance may be affected bythe degree of strategic fit between the organizations involved. Similarly, the strategic fit of one organization with another is often a factor in decisions aboutacquisitions, mergers, diversification, or divestment.

- Strategic Fit exists when value chain of different business are related. When these different value chains allow transferring skills and expertise from one business to other , and their combined performances work to reduce cost.



Market related fit arises when value chains of different businesses overlap so that the products can be used by same customers, marketed and promoted in a similar way and have a common distribution channel (common dealers and retailers)

Market related fit could be of following types:

- Common sales force to call on customers
- Advertising related products together
- Use of same brand names
- Joint delivery & shipping

- Joint after-sale service & repair work
- Joint order processing & billing
- Joint promotional tie-ins
- Cents-off couponing, trial offers, specials
- Joint dealer networks

Operational Fit:

Operational Fit arises when different businesses work along in order to explore opportunities for cost-sharing or skill transfer.

Types of Operational Fits are:

- 1.Procurement of purchased inputs
- 2.R&D/technology
- 3.Manufacture & assembly
- 4.Administrative support functions
- 5.5.Marketing & distribution

Benefits of Operating Fits.

As both businesses tend to work together they often save lot on cost. The companiesare able to tap into more economy of scale and/or economies of scope. Both the businesses often tend to increase operation efficiency through sharing of related activities.

Management Fit:

This fit revolves around a comfort that is built among both the businesses in terms of some comparable units like Entreasures, Administration and various administrative activities , operating problems. It allows accumulated managerial know-how in one business to be used in managing another business.

It is necessary that business management should take actions to capture benefits as they don't just happen! Benefits with sharing potential must be recognized so that activities to be shared are merged and coordinated. When skill transfer takes place a means must be found to make it effective.

1.10.1 7s Framework

McKinsey and Company have developed a model known as, "the seven elements of

strategic fit," or the "7-S's."

7 S's include:

1. **strategy** (the coherent set of actions selected as a course of action);
2. **structure** (the division of tasks as shown on the organization chart);
3. **systems** (the processes and flows that show how an organization gets things done);
4. **style** (how management behaves);
5. **staff** (the people in the organization);
6. **shared-values** (values shared by all in the organization); and
7. **skills** (capabilities possessed by the organization).

The underlying concept of the model is that all seven of these variables must "fit" with one another in order for strategy to be successfully implemented.

1.11 CONFIGURATION PERSPECTIVE

The Configuration schools view strategy formation (configuration) as a process of organizational transformation. As the organization transforms, it configures itself toward stability.

Perspectives of the Configuration School of Strategy

An organization can be described in terms of a particular state of stability regarding its configuration. Thus, in a particular moment the organization adopts a particular form and behavior that matches a particular situation. In such times, particular strategies will arise too.

The sequence of stages can follow different patterns.

- Periodic Bumps: Very common in conventional organizations and characterized by long periods of stability interrupted by short periods of revolution.
- Oscillating shifts: A period of adaptation towards stability is follow by a period of struggle
- Life cycles: A stage of development is follow by one stage (period) of stability
- Regular progress: Relatively sustained adaptation overtime

1.11.1 The Organizational Stages

- Stage of Development (e.g. establishing systems and consolidating strategic positions)
- Stage of Stability (refining strategies and structure)
- Stage of Adaptation (minor changes in the strategic positions and structure)
- Stage of Struggle (looking for a new sense of direction by any means)
- Stage of Revolution (rapid transformation of characteristics taking place simultaneously)

2. Organizational Patterns

The Configuration school suggests a few strategies to achieve a comprehensive degree of organizational change:

- Evolutionary/ institution building: gradual reshaping of values, top-level (managerial) structures, and performance and control systems in order to allow managers to drive change
- Jolt and refocus: a change in the focus, attitude, and style of management to redefine a new direction
- Follow the leader: The leader initiates major changes from top to bottom in order to achieve immediate results
- Multi-front focus: Change is driven by dedicated task-teams with a wide focus
- Systematic redesign: In order to improve performance, task teams drive changes and plan the core process redesign in parallel
- Unit-level mobilizing: Change leaders designates task teams to induce change within a unit, focusing on middle managers and their subalterns

These strategies focus on changes at either the top or the bottom level of an organizational hierarchy. In some firms, such changes run along the hierarchy affecting the organization as a whole.

3. Top-Down Change

An example of strategy aiming a successful transformation of a firm from a top-down perspective of change considers:

- Establishing a sense of urgency (identifying crisis and opportunities)
- Forming a powerful coalition (forming a group with power enough to drive the change)

- Creating a vision (establish a vision to be follow and the strategies to do it).
- Communicating the vision
- Empowering others to act on the vision (getting rid of any obstacles to change)
- Planning and creating short-term wins (plan, execution and reward of achievable performance and practice)
- Consolidating improvements and producing more changes (using achieved credibility to materialize the vision, and finding new ways to bring it further)
- Institutionalizing new approaches (making evident the links between success and the new vision and behavior, making them a tool of leadership and management)

1.11.4 Bottom-Up Change

From a bottom-up perspective of change, there are at least six steps to effectiveness:

- Mobilize commitment to change through joint diagnosis of business problems (shared role in the problem and the solution)
- Develop a shared vision of how to organize and manage for competitiveness (share new roles and responsibilities)
- Promote consensus for the new vision, the necessary competence to attain it, and the cohesion (unity) to walk along the way (promote the shared benefit and the challenge)
- Spread revitalization to all departments without pushing it from the top (let them find the way and reorganize themselves)
- Institutionalize revitalization through formal policies, systems and structures
- Monitor and adjust strategies in response to problems in the revitalization process (share the responsibility to learn from the change)

ASSIGNMENTS

1. Make a business canvas model of a company of your choice.

   Conditions: no two members will submit the same company



10. PART A QUESTIONS AND ANSWERS

1. Define Strategy.

Strategy is the unified, comprehensive and integrated plan that relates the Strategic advantage of the firm to the challenges of the environment and is designed to ensure that basic objectives of the enterprise are achieved through proper implementation process

2. What is business strategy?

Strategy is the determination of the basic long goals and objectives of an enterprise and the adoption of the course of action and the allocation of the resources necessary for carrying out these goals‖. It‘s a comprehensive master plan stating how the corporation will achieve its mission and objectives of maximizes the competitive advantage and minimizes the competitive disadvantage.

3. What is strategic management?

Strategic management is that set of managerial decisions and actions that determine the long-run performance of a corporation of includes environmental Scanning, strategy formulation strategy implementation and evaluation and control. The study of strategic management therefore emphasizes the monitoring and evaluating of external opportunities and threats in the light of corporation‘s strengths and weaknesses.

4. What is corporate strategy?

Corporate strategy describes a company‘s overall direction in terms of its general altitude towards growth and the management of its various businesses and product lines. Corporate strategy is composed of directional strategy, portfolio analysis and parenting strategy, corporate strategies typically fit within the three main categories of stability, growth and retrenchment.

5. What do you mean by strategic myopia?

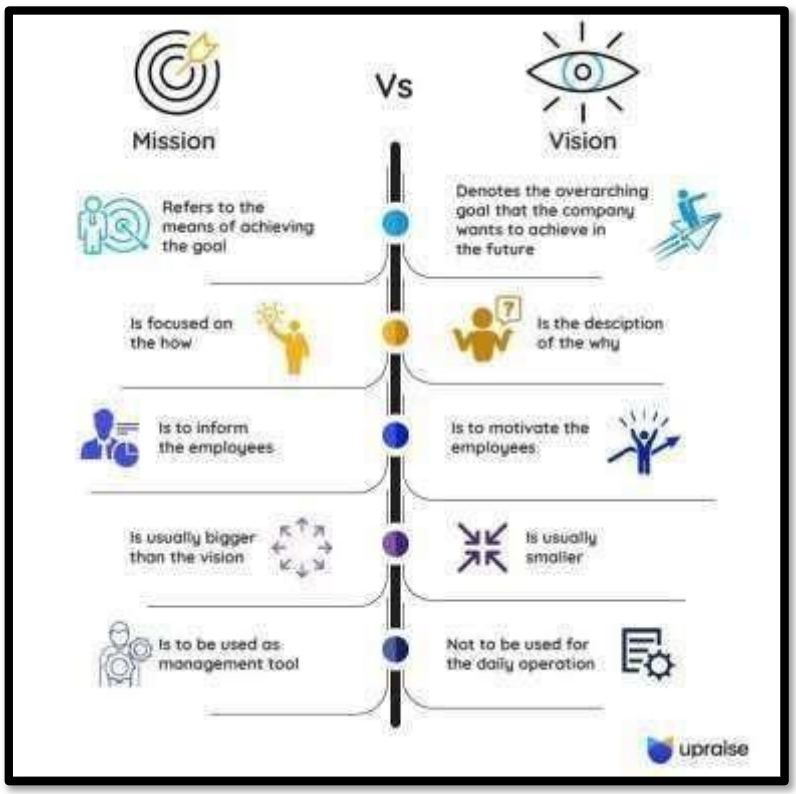
While identifying the external strategic factors, the managers sometimes miss or ignore crucial new developments. Personal values and functional experiences of a corporation‘s manager as well as the success of current strategies bias both their perception of what they important to monitor in the external environment and the interpretations of what they perceive. This willingness to reject unfamiliar as well as negative information is called strategic myopia.

6. Distinguish between programs and procedures.

A program is a statement of the activities or steps needed to accomplish single use plan of makes the strategy action-oriented of my involve restructuring the corporation changing the company‘s internal structure or beginning a new research effort.

Procedures are a system of sequential steps or techniques set describe in detail how a particular job or task is to be done. They typically detail the various activities that must be carried out for completion of the corporations programs.

7. Distinguish between vision and mission.



8. Enumerate Some Characteristics Of Strategic Management.

- it is a combination of strategy formulation and strategy implementation;
- it is the highest level of managerial activity;
- it is performed by an organization's CEO (Chief Executive Officer) and executive team;
- it provides overall direction to the enterprise.

9. What Specific Entrepreneurial Aspects Include The Strategy Formation Process?

- searching actively for innovative ways the organization can improve on what it is already doing;
- ferreting out new opportunities for the organization to pursue;
- developing ways to increase the firm's competitive strength and put it in a stronger position to cope with competitive forces;
- devising ways to built and maintain a competitive advantage;
- deciding how to meet threatening external developments;
- encouraging individuals throughout the organization to put forth innovative proposals and championing those that have promise;
- directing resources away from areas of low or diminishing results toward areas of high or increasing results;
- deciding when and how to diversify;
- choosing which businesses (or products) to abandon, which of the continuing ones to emphasizes, and which new ones to enter or add.

10. Which are the steps of Strategic Management?

- specifying an organization's objectives;
- developing policies an plans to achieve these objectives;
- allocating resources to implement the policies.

10. **How Is Strategy Formulation Process Referred Sometimes?**
- determining where you are now;
- determining where you want to go,
- determining how you get there.

11. **What Involves The Strategy Implementation?**
- allocation of sufficient resources (financial, personnel, time, technology support),
- establishing a chain of command or some alternative structure,
- assigning responsibility of specific tasks or processes to specific individuals groups,
- it also involves managing the process (monitoring results, comparing to benchmarks and best practices, evaluating the efficacy and efficiency of the process, controlling for variances, making adjustments to the process as necessary),
- implementing specific programs, meaning acquiring the requisite resources, developing the process, training, process testing, documentation and integration with legacy process.

12. **Which Are The Components Of Strategic Management?**
- defining the organization's business and developing a strategic mission,
- establishing strategic objectives and performance targets,
- formulating a strategy to achieve the objectives,
- implementing an executing the chosen strategic plan,
- evaluating strategic performance and making corrective adjustments.

13. What Is A Strategic Mission?

the management's view of what the organization seek to do and to become over the long-term is the organization's strategic management.

14. What Is Formulating A Strategy Reveal?

Formulating a strategy reveals how the targeted results will be accomplished – a detailed action plan is necessary to achieve both short-run and long-run results.

15. What Means Strategy Implementation And Execution?

Strategy implementation and execution means putting the strategy into place and getting individuals and organizational subunits to go all out in executing their tasks in the next step. The leadership's challenge is to so stimulate the enthusiasm, pride and commitment of managers and employees in order to carry out the chosen strategy and to achieve the targeted results.

16. Enumerate The Most Important Strategic Objectives:
- the market position and competitive standing the organization aims to achieve;
- the annual profitability targets;
- key financial and operating results to be achieved through the chosen activities;
- any other milestones by which strategic success will be measured.

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- the market position and competitive standing the organization aims to achieve;
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- key financial and operating results to be achieved through the chosen activities;
- any other milestones by which strategic success will be measured.

23. Who are an organization's stakeholders? Identify and give an example of each of the three types of stakeholders.

Individuals, groups, and organizations that can affect the firms vision and mission, are affected by the strategic outcomes achieved, and have enforceable claims on the firm's performance
Capital market stakeholders (shareholders & major suppliers of capital, Product Market (Primary customer, suppliers) Organizational (Employees & managers).

Capital Market Stakeholders.
i. Shareholders, Major suppliers of capital. (e.g., banks).
Product Market Stakeholders
i. Primary customers, Suppliers, Host communities, Unions.
- Organizational Stakeholders

i. Employees, Managers, Nonmanagers.

24. What is strategic intet?

Strategic intent is **the term used to describe the aspirational plans, overarching purpose or intended direction of travel needed to reach an organisational vision**. Beneficial change results from the strategic intent, ambitions and needs of an organisation.

25. strategic fit

The degree to which the activities of different sections of a business or businesses working together complement one another to achieve competitive advantage and business success

26. Enumerate the Henry Mintzberg's schools of strategic management.

- **Design**: a process of *conception* (SWOT)
- **Planning**: a highly *formal*, structured process
- **Positioning**: an *analytical* process (market niche)
- **Entrepreneurial**: a *visionary* process
- **Cognitive**: a *mental* process
- **Learning**: an *emergent* process
- **Power**: a process of *negotiation*
- **Cultural**: a *collective* process
- **Environmental**: a *reactive* process
- **Configuration**: a process of *transformation*

27. What do you mean by McKinsey's 7S framework of strategic fit?

1. **strategy** (the coherent set of actions selected as a course of action);
2. **structure** (the division of tasks as shown on the organization chart);
3. **systems** (the processes and flows that show how an organization gets things done);
4. **style** (how management behaves);
5. **staff** (the people in the organization);
6. **shared-values** (values shared by all in the organization); and
7. **skills** (capabilities possessed by the organization).

11. PART B

1. Corporate planning is not synonymous with long range planning." Why? Discuss.
2. Explain about kind of factors that shape a company's strategy.
3. Discuss the nature and significance of strategic management.
4. Explain strategic management process in detail.
5. Explain Henry Mintzberg's schools of strategic management.
6. Elaborate on the configuration perspective of strategic management.
7. What do you mean by Strategic fit? Explain.

12. ONLINE CERTIFICATION COURSES

1. https://www.coursera.org/learn/strategic-management
2. https://www.edx.org/learn/strategic-management
3. https://onlinecourses.nptel.ac.in/noc22_mg88/preview
4. https://onlinecourses.nptel.ac.in/noc22_mg89/preview

13. Real-time applications



- A strategic management process helps an organization and its leadership to think about and plan for its future existence, fulfilling a chief responsibility of a board of directors.

- Strategic management sets a direction for the organization and its employees.
- Unlike once-and-done strategic plans, effective strategic management continuously plans, monitors and tests an organization's activities, resulting in greater operational efficiency, market share and profitability.

Reliance Industries (RIL) is one of India's largest and most diversified companies, with businesses spanning energy, petrochemicals, telecommunications, retail, digital services, media, and renewable energy. The company's strategic management focuses on diversification, innovation, digital transformation, operational excellence, and long-term value creation.

Strategic Objectives
Expand digital services across India.
Strengthen leadership in retail.
Transition towards green energy.
Enhance customer experience.
Increase operational efficiency.
Expand globally through partnerships.
Invest in emerging technologies such as AI and 5G.
Achieve sustainable business growth.

Strategic Management Process
1. Environmental Scanning
Reliance continuously monitors internal and external environments using strategic analysis tools.

External Analysis (PESTLE)

Factor	Impact on Reliance
Political	Government policies on telecom, energy, and retail
Economic	Inflation, GDP growth, consumer spending
Social	Increasing digital adoption and urbanization
Technological	AI, 5G, cloud computing, digital payments
Legal	Competition laws and environmental regulations
Environmental	Renewable energy and sustainability initiatives

2. Internal Analysis

Resources

- Strong financial resources
- Extensive infrastructure
- Highly skilled workforce
- Strong brand recognition
- Advanced digital ecosystem

Core Competencies

- Integrated supply chain
- Cost leadership
- Large-scale operations
- Innovation capability
- Customer-centric approach

SWOT Analysis

Strengths	Weaknesses
Diversified business portfolio	High capital expenditure
Strong financial position	Dependence on the Indian market
Market leadership in telecom and retail	Complex organizational structure
Strong brand reputation	Integration challenges across businesses
Large customer base	Exposure to regulatory changes
Opportunities	Threats
AI and digital transformation	Intense competition
Renewable energy investments	Rapid technological changes
International expansion	Cybersecurity risks
Growth of e-commerce	Global economic uncertainty
Expansion into new markets	Changing government policies

14. Contents beyond the Syllabus

Importance of Entrepreneurship Development

Entrepreneurship development plays a crucial role in shaping the economic landscape of nations, fostering innovation, and driving job creation. It represents the engine of economic growth and the catalyst for transformative change in developed and developing economies. Learn what is entrepreneurship development and why it is important in the overall economic growth of a country.

Definition-
Entrepreneurship is the ability to identify and coordinate productive resources to materialize a business at the service of an innovative idea. Entrepreneurial development promotes competition, variety, selection, cooperation, transformation, evolution, scientific progress, and knowledge, among other positive factors for a country.

There are certain conditions to generate a favourable environment in which entrepreneurs thrive and succeed: economic freedom, a guarantee of the right to property, policies and regulations related to the subject, and education and training infrastructure, among others. The functions of entrepreneurs include identifying opportunities, assembling resources, and creating value by addressing market needs through innovative solutions.
Although entrepreneurship is not the only solution for economic development, it is the key to rescuing, prosecuting, and accelerating a country's growth and economic development. All this process generates a cycle that translates into the following:

ENTREPRENEURSHIP = ECONOMIC DEVELOPMENT = MORE ENTREPRENEURSHIP

15. ASSESSMENT SCHEDULE

- **Tentative schedule for the Assessment During 2026-2027 Odd Semester:**

S.NO	Name of the Assessment	Start Date	End Date	Portion
1	Unit Test 1			UNIT 1
2	Internal Assessment Test 1			UNIT 1 & 2
3	Unit Test 2			UNIT 3
4	Internal Assessment Test 2			UNIT 3 & 4
5	Model Examination			ALL 5 UNITS

16. Prescribed Text Books & Reference Books

TEXT BOOKS:
1. Robert M. Grant, Contemporary StrategicManagement,Blackwell, 7th Edition, 2012.
1. D N Dwivedi, Managerial Economics, 8th Edition, Vikas Publishing House, 2018.
REFERENCES:
1. Richard Rumelt, Competitive Advantage, 2011.
1. Kazmi, Azhar, Business Policy and Strategic Management, Third Edition,Tata McGrawhill, New Delhi, 2008.

17. Mini Project suggestions:

1. Strategic Planning Practices in Small and Medium Enterprises (SMEs).
2. SWOT-Based Strategic Assessment of a Retail Business.
3. Applying Porter's Generic Strategies to Local Businesses.
4. Analysis of Vision and Mission Statements of Fortune 500 Companies.
5. Competitive Strategy Analysis of a Mobile Phone Brand.
6. Digital Transformation as a Strategic Initiative in Banking.
7. Strategic Responses of Businesses to Economic Recession.
8. Blue Ocean Strategy: Identifying New Market Opportunities.
9. Role of Artificial Intelligence in Strategic Decision-Making.
10. Benchmarking Strategic Practices Across Competitors.

18. AI Based Example

Artificial Intelligence (AI) enhances the traditional SWOT (Strengths, Weaknesses, Opportunities, and Threats) analysis by automating data collection, identifying strategic patterns, and generating data-driven insights. Instead of relying solely on manual brainstorming and expert opinion, AI processes large volumes of structured and unstructured data to produce a more comprehensive and objective SWOT analysis.

1. Data Collection Using AI

The first step in SWOT analysis is gathering relevant information about the organization and its business environment. AI can automatically collect and summarize data from multiple sources, such as:

Company annual reports
Financial statements
Customer reviews
Social media posts
News articles
Competitor websites
Industry reports
Market research publications

Natural Language Processing (NLP) techniques enable AI to extract key business information from text documents, significantly reducing the time required for data collection.

2. Data Cleaning and Organization

Once the data are collected, AI helps organize and preprocess the information by:

Removing duplicate data
Eliminating irrelevant information
Classifying business information into categories
Identifying trends and recurring themes
Summarizing lengthy reports into concise insights

This preprocessing ensures that only relevant information is used for strategic analysis.

3. Identification of Strengths and Weaknesses

AI analyzes the organization's internal data to identify factors that contribute to competitive advantage or operational limitations.

Strengths may include:

Strong brand reputation
Efficient supply chain
High customer satisfaction
Financial stability
Advanced technology adoption

Weaknesses may include:

High operating costs
Limited digital presence
Low employee productivity
Dependence on specific suppliers
Weak online customer engagement

Machine learning models and text analysis tools can identify these factors by examining customer feedback, financial indicators, and operational reports.

18. AI Based Example

4. Identification of Opportunities and Threats
AI continuously monitors the external business environment to detect emerging opportunities and potential threats.
Opportunities may include:
Growing market demand
New customer segments
Government incentives
Emerging technologies
Expansion into new regions
Threats may include:
New competitors
Inflation
Regulatory changes
Supply chain disruptions
Cybersecurity risks
AI can analyze news feeds, market reports, and social media discussions in near real time, helping organizations respond proactively to external changes.
5. AI-Generated SWOT Matrix
After identifying the internal and external factors, AI organizes them into a SWOT matrix.

Strengths	Weaknesses
Strong brand image	Limited online presence
Efficient operations	High operating costs
Loyal customers	Slow digital transformation
Opportunities	**Threats**
AI-based personalization	Strong online competitors
Expansion into new markets	Inflation
Digital transformation	Changing customer behavior

This structured presentation helps decision-makers understand the organization's strategic position at a glance.
6. Strategy Formulation Using AI
AI not only generates the SWOT factors but also recommends strategies by combining internal and external factors using the TOWS framework.

SO (Strength–Opportunity) Strategies
Use strengths to capitalize on opportunities.
Example:
Use strong brand recognition to expand into Tier-2 and Tier-3 cities.
Implement AI-driven demand forecasting to improve inventory management.

18. AI Based Example

WO (Weakness–Opportunity) Strategies

Address weaknesses by leveraging opportunities.

Example:

Develop an e-commerce platform to overcome limited online presence.

Adopt AI-powered customer relationship management (CRM) systems.

ST (Strength–Threat) Strategies

Use strengths to reduce the impact of threats.

Example:

Utilize efficient supply chain management to compete with online retailers.

Strengthen customer loyalty programs to retain market share.

WT (Weakness–Threat) Strategies

Minimize weaknesses and avoid threats.

Example:

Reduce operational costs through AI-enabled process automation.

Improve cybersecurity measures to mitigate digital risks.

7. Predictive Analysis

Unlike traditional SWOT analysis, AI can incorporate predictive analytics to forecast future business scenarios.

Examples include:

Predicting future customer demand.

Forecasting sales trends.

Estimating market growth.

Anticipating competitor actions.

Identifying future risks.

These predictive insights enable organizations to develop proactive rather than reactive strategies.

8. Visualization and Reporting

AI-powered business intelligence tools can present SWOT results through interactive dashboards, charts, and heat maps.

Common visualization features include:

SWOT matrix dashboards

Trend analysis graphs

Competitor comparison charts

Customer sentiment analysis

Risk heat maps

These visualizations make it easier for managers to interpret strategic information and communicate findings to stakeholders.

9. Continuous Monitoring

Traditional SWOT analysis is often conducted periodically. AI enables continuous strategic monitoring by:

Tracking competitor activities

Monitoring customer sentiment

Identifying changes in market conditions

Detecting emerging risks

Updating SWOT factors in real time

This allows organizations to adapt their strategies more quickly.

18. AI Based Example

10. Benefits of AI in SWOT Analysis

Benefit	Description
Speed	Processes large volumes of data quickly.
Accuracy	Reduces human error and subjective bias.
Automation	Automates data collection and analysis.
Real-Time Insights	Continuously updates strategic information.
Predictive Capability	Forecasts future trends and risks.
Better Decision Making	Provides data-driven strategic recommendations.
Scalability	Analyzes information from multiple sources simultaneously.

11. Limitations of AI in SWOT Analysis

Despite its advantages, AI has some limitations:

- Depends on the quality and accuracy of input data.
- May generate generalized or inaccurate insights if prompts are poorly designed.
- Cannot fully capture organizational culture, leadership dynamics, or political factors.
- Requires human expertise to validate and interpret AI-generated recommendations.
- Ethical concerns such as data privacy and algorithmic bias must be addressed.

Thank you

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